

# WTS - Research Report

Watts Water Technologies, Inc. · Industrials / Specialty Industrial Machinery  
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INTERNAL

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|                                                                                                          |                                              |                                           |
|----------------------------------------------------------------------------------------------------------|----------------------------------------------|-------------------------------------------|
| <b>SCORE</b><br><b>52.02/100</b>                                                                         | <b>VERDICT</b><br><b>Monitor for reclaim</b> | <b>PRICE</b><br><b>350.52</b>             |
| <b>SETUP</b><br><b>Breakout @ 368.70</b>                                                                 | <b>R/R</b><br><b>2.0:1</b>                   | <b>NEXT EARNINGS</b><br><b>2026-08-05</b> |
| <b>Catalysts</b> Earnings on 2026-08-05   Dividend recorded 2026-06-01                                   |                                              |                                           |
| <b>Risks</b> No elevated near-term risk flagged.                                                         |                                              |                                           |
| <b>Setup</b> Setup: Breakout   Trigger: Level / Status   Invalid: 330.87 / EMA21 346.14   Target: 389.82 |                                              |                                           |

## Executive Summary

- Score: 52.02/100
- MONITOR
- State: Hold / Neutral
- State: Uptrend / Range

## Relative Strength Ratio



## CONTENTS

- 01 Executive Summary & Verdict
- 02 Data Quality
- 03 Validation Warnings
- 04 Data Freshness Brief
- 05 Investment Case
- 06 Decision Dashboard
- 07 Report Summary
- 08 Thesis Delta Brief
- 09 Signal Conflicts
- 10 Conviction Gradecard
- 11 Price Snapshot
- 12 Setup / Risk Dashboard
- 13 Setup Quality Grade
- 14 Catalyst Summary Card

Executive Summary & Verdict

**\*\*NEUTRAL HOLD / NEUTRAL\*\***

NOTE

Technical Score: 52.02/100 · Verdict: MONITOR · Advice: Hold / Neutral

| Pillar              | Assessment                                |
|---------------------|-------------------------------------------|
| Market Cycle        | Stage 2 — Uptrend OK                      |
| Trend / Regime      | Uptrend / Range                           |
| TTM Squeeze         | DOWN Active — 1 bars (potential breakout) |
| Valuation (P/E)     | 32.83x — elevated                         |
| Return on Equity    | 18.94% OK                                 |
| Net Margin          | 14.32% OK                                 |
| Earnings Growth     | 34.50% OK                                 |
| Debt/Equity         | 14.55 OK                                  |
| Analyst Mean Target | \$358.33 — +2.23% from current            |

Data Quality

|                                     |                                          |
|-------------------------------------|------------------------------------------|
| PROVIDER QUALITY SCORE<br>90.00/100 | EFFECTIVE REPORT CONFIDENCE<br>45.00/100 |
| FRESHNESS STATUS<br>STALE DATA      |                                          |

Validation Warnings

|                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>WARNING</b> <ul style="list-style-type: none"><li>- Dividend yield looks extreme at 62.00%.</li><li>- Institutional holding exceeds 100% at 106.30%.</li></ul> |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|

Data Freshness Brief

|                        |                                                           |
|------------------------|-----------------------------------------------------------|
| STATUS<br>STALE        | FRESH / STALE / UNKNOWN<br>0 / 22 / 2                     |
| TRACKED DATASETS<br>24 | DETAIL LOCATION<br>Appendix / Data Freshness & Provenance |

Investment Case

|                                          |                    |
|------------------------------------------|--------------------|
| THESIS<br>Hold / Neutral (MONITOR setup) | VERDICT<br>MONITOR |
|------------------------------------------|--------------------|

|                                        |                                 |
|----------------------------------------|---------------------------------|
| TIME HORIZON<br>Swing                  | ENTRY / TRIGGER<br>368.70       |
| STOP / INVALIDATION<br>330.87 (-5.61%) | TRADE TARGET<br>389.82 (11.21%) |
| ANALYST MEAN TARGET<br>358.33 (2.23%)  | REWARD / RISK<br>2.00:1         |
| NEXT CATALYST<br>2026-08-05            |                                 |

Investment Insight

| Lens        | Insight                                 |
|-------------|-----------------------------------------|
| Read        | favorable asymmetry                     |
| Implication | setup supports action if trigger clears |
| Watch Next  | trigger 368.70 and catalyst 2026-08-05  |
| Confidence  | high                                    |

Decision Dashboard

| Lens          | Read            | Lens             | Read                |
|---------------|-----------------|------------------|---------------------|
| Trend         | 100.00          | Momentum         | 44.97               |
| Risk Adjusted | 84.12           | Confidence       | 4.04                |
| Valuation     | Rich            | Macro Regime     | neutral             |
| Event Window  | 1d              | Relative Context | 14.04% vs benchmark |
| Setup         | Uptrend / Range |                  |                     |

Dashboard Insight

| Lens        | Insight                               |
|-------------|---------------------------------------|
| Read        | signal stack weak                     |
| Implication | position sizing should stay selective |
| Watch Next  | event window 1d                       |
| Confidence  | medium / conflicting signals          |

Report Summary

| Lens               | Summary         |
|--------------------|-----------------|
| Thesis             | Hold / Neutral  |
| Score / Verdict    | 52.02 / MONITOR |
| Strongest Evidence | Trend 100.00    |

| Lens         | Summary       |
|--------------|---------------|
| Biggest Drag | Drawdown 0.00 |
| Catalyst     | 2026-08-05    |
| Invalidation | 330.87        |

Summary Insight

| Lens        | Insight                                           |
|-------------|---------------------------------------------------|
| Read        | summary supports current call                     |
| Implication | thesis still needs cleaner confirmation           |
| Watch Next  | watch catalyst 2026-08-05 and flow follow-through |
| Confidence  | medium / stale inputs                             |

Thesis Delta Brief

| Lens   | Read                                                                 |
|--------|----------------------------------------------------------------------|
| Status | Unavailable                                                          |
| Reason | No previous same-profile report artifact found for delta comparison. |

Signal Conflicts

| Conflict                       | Why It Matters                                               |
|--------------------------------|--------------------------------------------------------------|
| trend strong but momentum weak | setup needs extra confirmation before conviction should rise |

Conflict Insight

| Lens        | Insight                                                                       |
|-------------|-------------------------------------------------------------------------------|
| Read        | signals not fully aligned                                                     |
| Implication | contradictions reduce sizing confidence even if the headline score looks fine |
| Watch Next  | watch whether price, relative strength, and flow start confirming each other  |
| Confidence  | medium / stale inputs                                                         |

Conviction Gradecard

| Pillar        | Weight | Score                  |
|---------------|--------|------------------------|
| Trend         | 35%    | 100.00                 |
| Momentum      | 30%    | 44.97                  |
| Risk-Adjusted | 20%    | 84.12                  |
| Valuation     | 15%    | 30.00                  |
| Composite     | 100%   | 69.81 (B / Accumulate) |

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Confidence Decomposition

| Driver                | Value                                                                                   |
|-----------------------|-----------------------------------------------------------------------------------------|
| Strong: Trend         | 100.00                                                                                  |
| Strong: Risk Adjusted | 84.12                                                                                   |
| Strong: Vol Stability | 71.97                                                                                   |
| Weak: VWAP            | 0.00                                                                                    |
| Weak: Drawdown        | 0.00                                                                                    |
| Weak: Bollinger       | 29.89                                                                                   |
| Read                  | Support led by Trend, Risk Adjusted, Vol Stability; drag from VWAP, Drawdown, Bollinger |

NOTE

Score Bars: Momentum 45 | Trend 100 | RiskAdj 84 | VolStab 72

Price Snapshot

Snapshot

|                       |                          |
|-----------------------|--------------------------|
| PRICE<br>\$350.52     | MARKET CAP<br>\$11.98B   |
| 52W HIGH<br>\$394.54  | 52W LOW<br>\$251.17      |
| BETA<br>1.13          | DIVIDEND YIELD<br>62.00% |
| TRAILING P/E<br>32.83 | FORWARD P/E<br>27.20     |
| EPS (TTM)<br>10.93    | SHARES OUT<br>27.47M     |
| FLOAT<br>27.10M       | FLOAT %<br>98.65%        |

Returns

| 1Y      | YTD     | MTD    | WTD    | 1D     |
|---------|---------|--------|--------|--------|
| +33.97% | +25.82% | +0.00% | +0.00% | +1.37% |

Setup / Risk Dashboard

|                         |                           |
|-------------------------|---------------------------|
| CURRENT PRICE<br>350.52 | PRIMARY TRIGGER<br>368.70 |
| STOP<br>330.87          | TRADE TARGET<br>389.82    |

STREET HIGH TARGET  
414.00

ATR(14)  
9.83

REWARD / RISK  
2.00:1

EXPECTED MOVE BAND  
2.80%

Setup Insight

| Lens        | Insight                                  |
|-------------|------------------------------------------|
| Read        | risk map actionable                      |
| Implication | trade can be planned before entry        |
| Watch Next  | break 368.70 with stop held above 330.87 |
| Confidence  | high                                     |

Setup Quality Grade

GRADE  
C

COMPOSITE SETUP SCORE  
53.11

SIGNAL STACK  
trend 100.00, momentum 44.97, confidence 4.04

REWARD / RISK  
2.00:1

UPSIDE TO TARGET  
11.21%

ROOM TO STOP  
-5.61%

Catalyst Summary Card

NEXT EARNINGS  
2026-08-05

EARNINGS COUNTDOWN  
1d

EXPECTED MOVE PROXY  
2.80%

LATEST DIVIDEND / SPLIT  
2026-06-01

TOP CATALYSTS  
Earnings on 2026-08-05 ; Dividend recorded 2026-06-01 ; Technical posture Uptrend / Range

TOP RISKS  
No elevated near-term risk flagged.

Scenario Analysis

| Scenario | Trigger        | Path                          | Consensus Context            | Fail Condition       | Probability |
|----------|----------------|-------------------------------|------------------------------|----------------------|-------------|
| Bull     | break > 368.70 | trade target 389.82 (+11.21%) | analyst mean 358.33 (+2.23%) | lose 330.87          | 21%         |
| Base     | hold > 350.52  | drift to 362.31 (+3.36%)      | analyst mean 358.33 (+2.23%) | fail to reach 389.82 | 45%         |
| Bear     | lose 330.87    | path 330.87 (-5.61%)          | analyst mean 358.33 (+2.23%) | reclaim 368.70       | 34%         |

Key Debate

| Side              | Framing                                       |
|-------------------|-----------------------------------------------|
| Bull Case         | trend and momentum support continuation       |
| Bear Case         | edge is mostly narrative, not cross-validated |
| Decision Variable | confidence 4.04, momentum 44.97               |

Key Reasons

| Side                   | Detail                                                            |
|------------------------|-------------------------------------------------------------------|
| Reasons To Be Long     | trend score 100                                                   |
| Reasons Not To Be Long | signal confidence 4%                                              |
| What Changes The Call  | Hold / Neutral breaks if stop fails or catalyst path deteriorates |

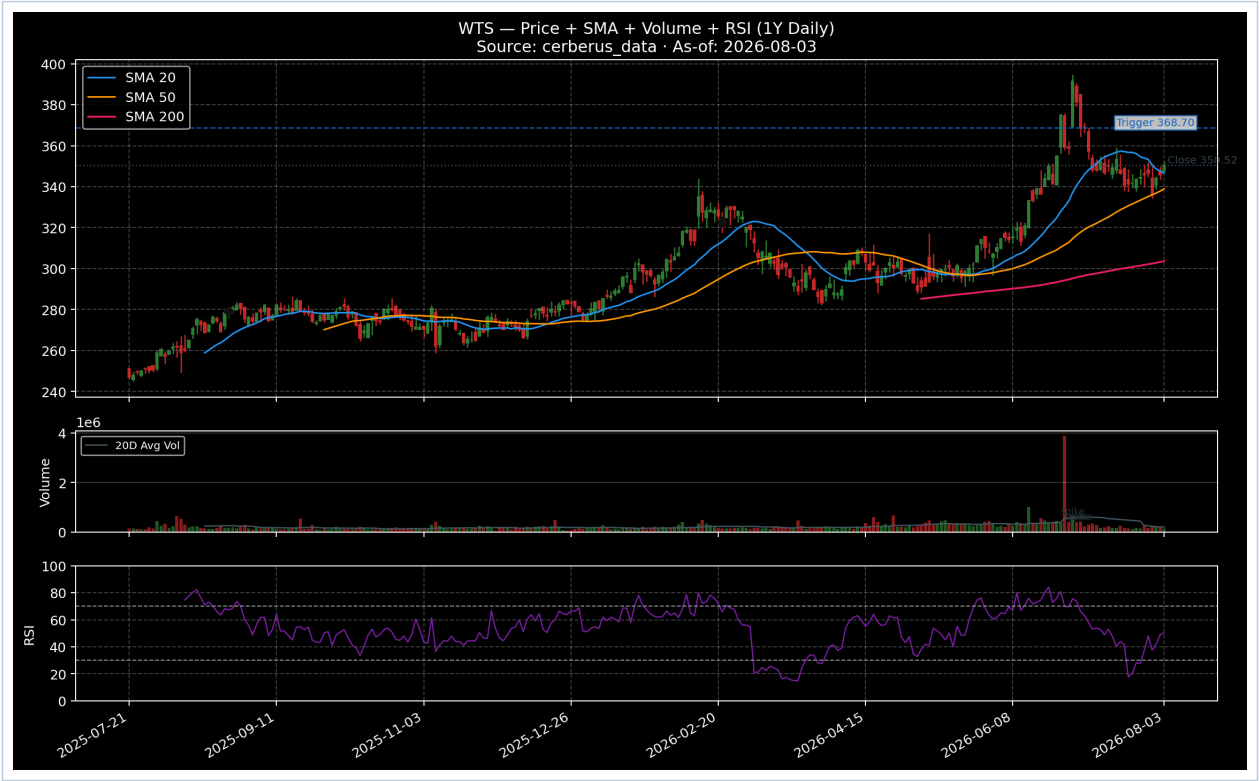


Figure 1. Price Chart - Candlestick + SMA + Volume + RSI (1Y)

Chart Read: Shows the primary price trend, participation, and momentum backdrop.

Read: setup offers about 11.2% upside versus 5.9% stop distance. Why it matters: combines trend, participation, and execution levels in one view. Source: local market data · As-of: 2026-08-03



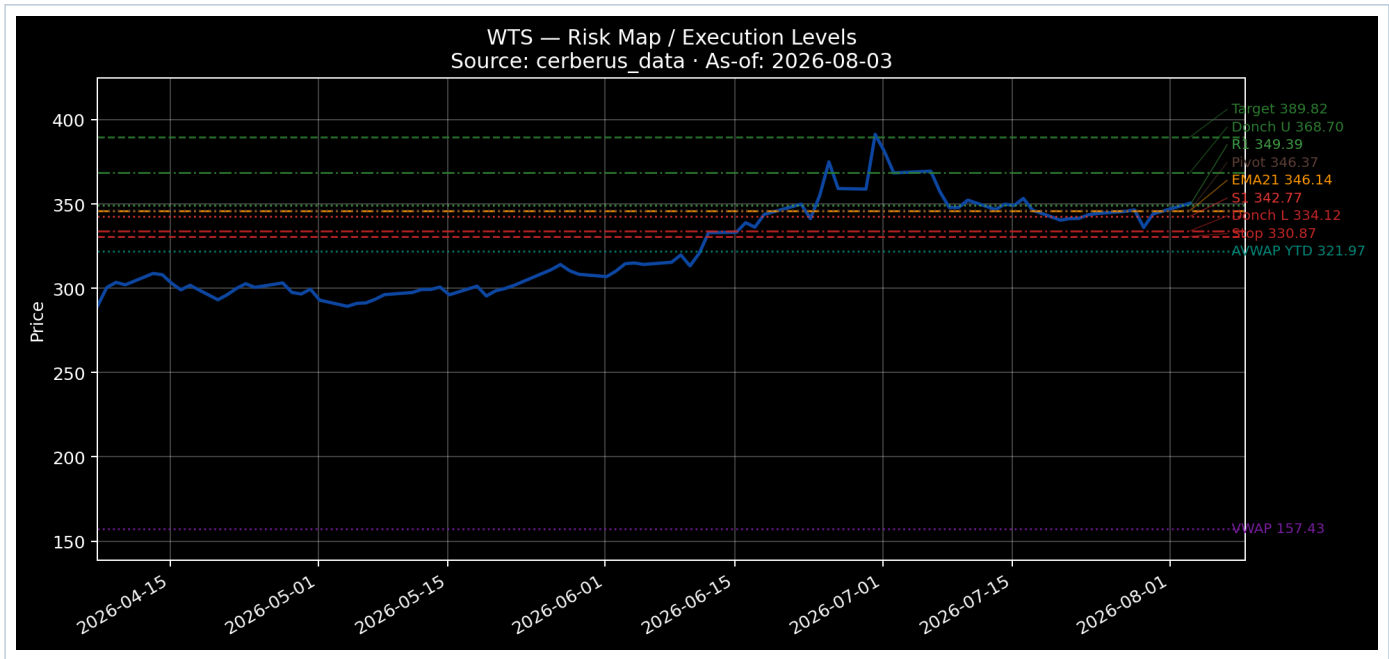


Figure 2. Risk Map and Execution Levels

Chart Read: Maps trigger, stop, and target levels into one execution view.

Read: payoff skew is favorable if trigger quality holds. Why it matters: makes trigger, invalidation, and target explicit. Source: technical indicators · As-of: 2026-08-03

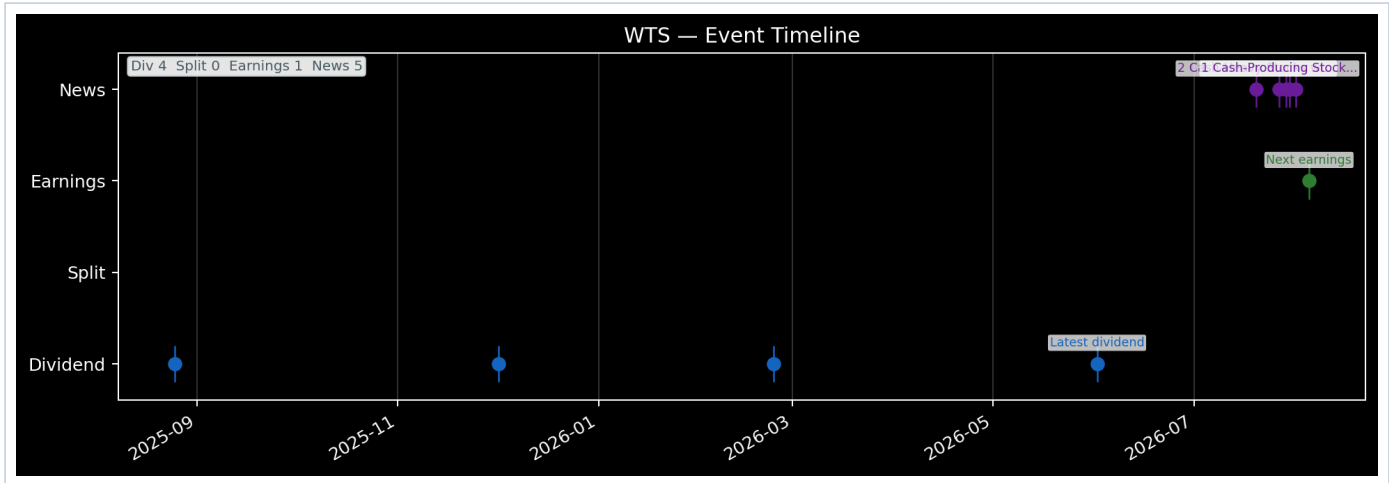


Figure 3. Catalyst and Event Timeline

Chart Read: Shows when key corporate events and headline catalysts occurred or are upcoming.

Read: next event window centers on 2026-08-05. Why it matters: timing of catalysts drives path dependence for the setup. Source: SEC events + earnings + news · As-of: 2026-05-20

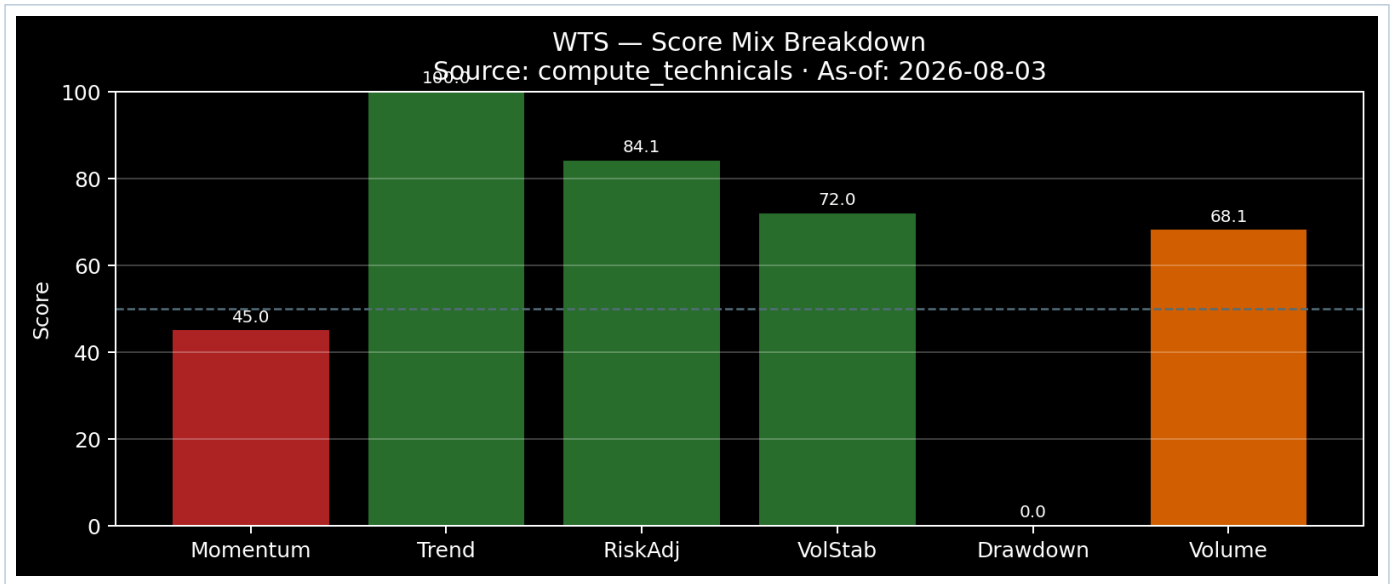


Figure 4. Score Mix Breakdown

Chart Read: Shows which technical sub-scores are carrying conviction and which remain weak.

Why it matters: shows which score drivers are carrying or dragging conviction. Source: technical scoring · As-of: 2026-08-03

Peer / Benchmark Snapshot

|                                   |                                          |
|-----------------------------------|------------------------------------------|
| PRIMARY BENCHMARK<br>SPY          | 6M RELATIVE VS PRIMARY<br>14.04%         |
| SECTOR BENCHMARK<br>XLI           | 6M RELATIVE VS SECTOR<br>5.52%           |
| MEDIAN PEER 6M RELATIVE<br>12.77% | NET MARGIN VS PEER MEDIAN<br>14.32% vs - |

Relative Strength / Benchmark Context

|                                          |                              |
|------------------------------------------|------------------------------|
| 1Y RETURN (SYMBOL)<br>33.97              | YTD RETURN (SYMBOL)<br>25.82 |
| BETA VS MARKET<br>1.13                   | PRIMARY BENCHMARK<br>SPY     |
| BENCHMARK-RELATIVE RETURN (6M)<br>14.04% | SECTOR/PEER BENCHMARK<br>XLI |
| EXCHANGE / TYPE<br>NYQ / EQUITY          | INTERPRETATION<br>leader     |

| Horizon | Symbol | Benchmark | Spread |
|---------|--------|-----------|--------|
| 1M      | -4.89% | 1.73%     | -6.62% |
| 3M      | 20.41% | 0.14%     | 20.27% |
| 6M      | 15.66% | 0.14%     | 15.52% |

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| Horizon                                                                                               | Symbol | Benchmark                                                                                           | Spread |
|-------------------------------------------------------------------------------------------------------|--------|-----------------------------------------------------------------------------------------------------|--------|
| 1Y                                                                                                    | 36.32% | 0.14%                                                                                               | 36.18% |
| PRIMARY BENCHMARK<br>SPY                                                                              |        | 6M RELATIVE RETURN VS SPY<br>14.04%                                                                 |        |
| SECTOR BENCHMARK<br>XLI                                                                               |        | 6M RELATIVE RETURN VS SECTOR<br>5.52%                                                               |        |
| PEER RANK<br>4/7                                                                                      |        | PEER PERCENTILE<br>50.00%                                                                           |        |
| BREADTH (PEERS POSITIVE 1Y)<br>2/6                                                                    |        | BREADTH (PEERS POSITIVE 6M REL)<br>6/6                                                              |        |
| MA PARTICIPATION<br>4/4 above                                                                         |        | INTERPRETATION<br>outperforming primary benchmark; leading sector peer benchmark; above 4/4 key MAs |        |
| PEER READ<br>clean                                                                                    |        |                                                                                                     |        |
| LEADERSHIP<br>Leader                                                                                  |        | CROWDING<br>Crowded                                                                                 |        |
| POSTURE<br>Cyclical                                                                                   |        | PRIMARY RELATIVE<br>14.04%                                                                          |        |
| SECTOR RELATIVE<br>5.52%                                                                              |        | PEER PERCENTILE<br>50.00%                                                                           |        |
| CONCLUSION<br>leader; vs primary benchmark positive; sector leadership confirmed; crowded positioning |        |                                                                                                     |        |

Relative Strength Insight

| Lens        | Insight                                                        |
|-------------|----------------------------------------------------------------|
| Read        | relative leadership confirmed                                  |
| Implication | outperformance supports staying in the name over the benchmark |
| Watch Next  | relative ratio and breadth must stay aligned                   |
| Confidence  | high                                                           |

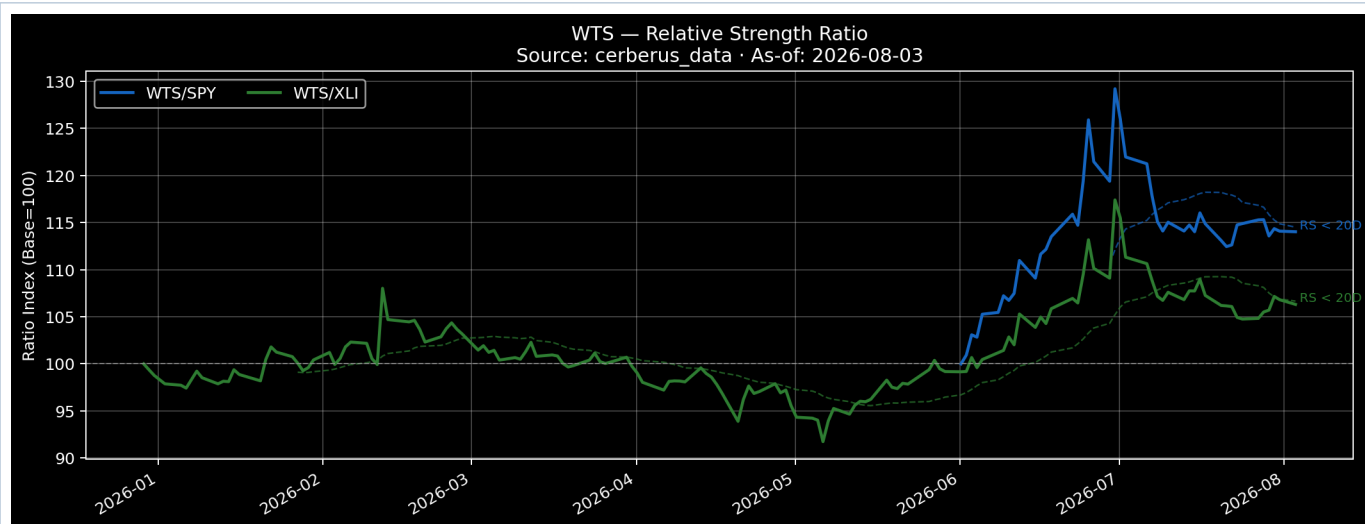


Figure 5. Relative Strength Ratio

Chart Read: Shows whether the symbol is gaining or losing relative momentum versus its benchmark.

Read: beating SPY by 14.0%. Why it matters: confirms whether the symbol is actually outperforming its benchmark set. Source: local market data vs benchmark · As-of: 2026-08-03

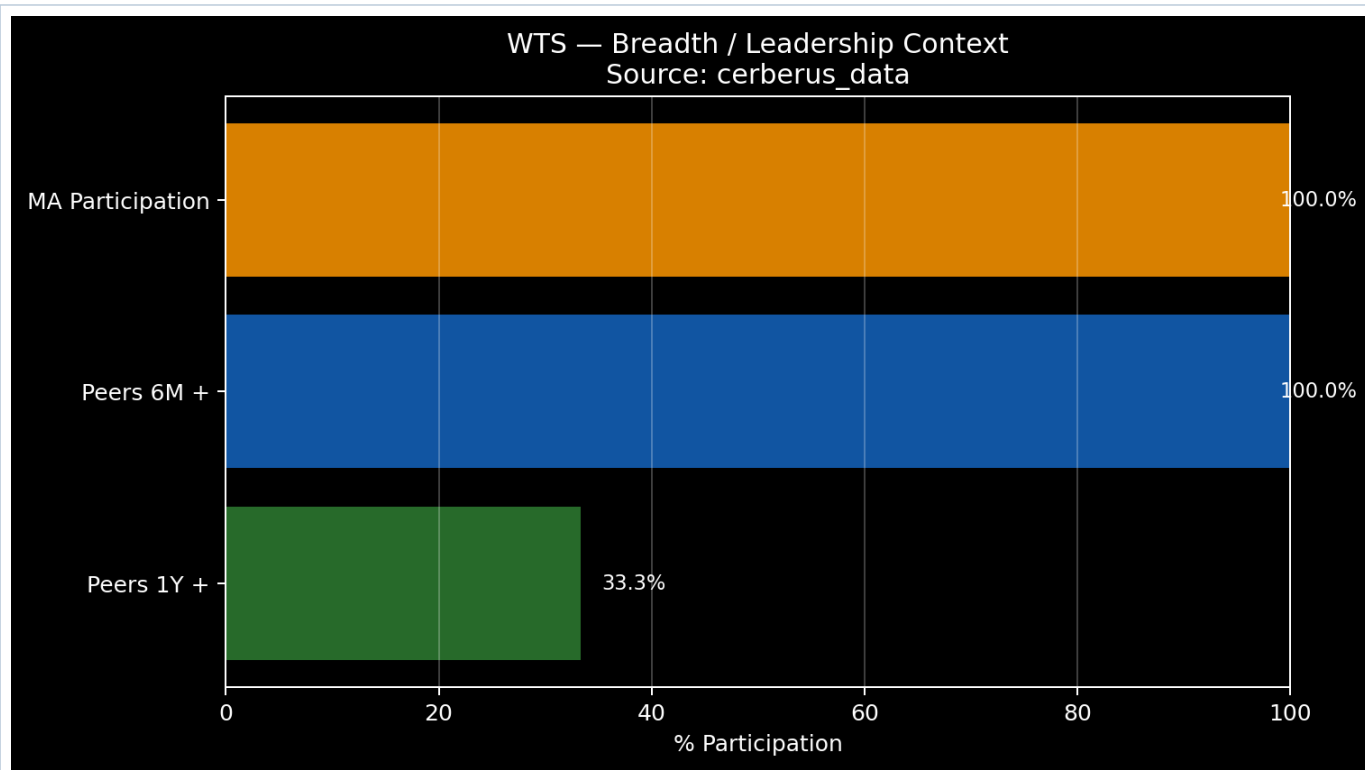


Figure 6. Breadth and Leadership Context

Chart Read: Shows how broadly supported the move is across peers and moving-average participation.

Why it matters: tests whether leadership is broad or narrow versus peers. Source: peer snapshot / local market data · As-of: 2026-08-03

## Peer Allocation View

### NOTE

Peer cut vs SPY using local index/sector mapping.

| Lens               | Subject         | Peer Medi... | Verdict     |
|--------------------|-----------------|--------------|-------------|
| 6M Relative Return | 14.04%          | 12.77%       | Inline      |
| 1Y Return          | 33.97%          | -5.18%       | Leader      |
| Net Margin         | 14.32%          | —            | Unavailable |
| Operating Margin   | 19.67%          | —            | Unavailable |
| 5D Major Flow      | N/A             | \$2.47M      | Unavailable |
| Panel Verdict      | mixed peer tape | 6 peers      | SPY         |

Benchmark-relative context vs SPY using local sector/index peers.

| Symbol | 1Y Return | 6M Rel | Net Mar... | Op Margin | 5D Major Flow |
|--------|-----------|--------|------------|-----------|---------------|
| ALLE   | -1.96%    | 24.24% | —          | —         | \$-108.83K    |
| AXON   | -22.44%   | 20.62% | —          | —         | \$18.05M      |
| ADP    | -8.40%    | 16.15% | —          | —         | \$-10.26M     |
| AOS    | -12.36%   | 9.39%  | —          | —         | \$5.04M       |
| AME    | 34.32%    | 9.16%  | —          | —         | \$-7.42M      |
| BA     | 5.22%     | 3.95%  | —          | —         | \$43.94M      |

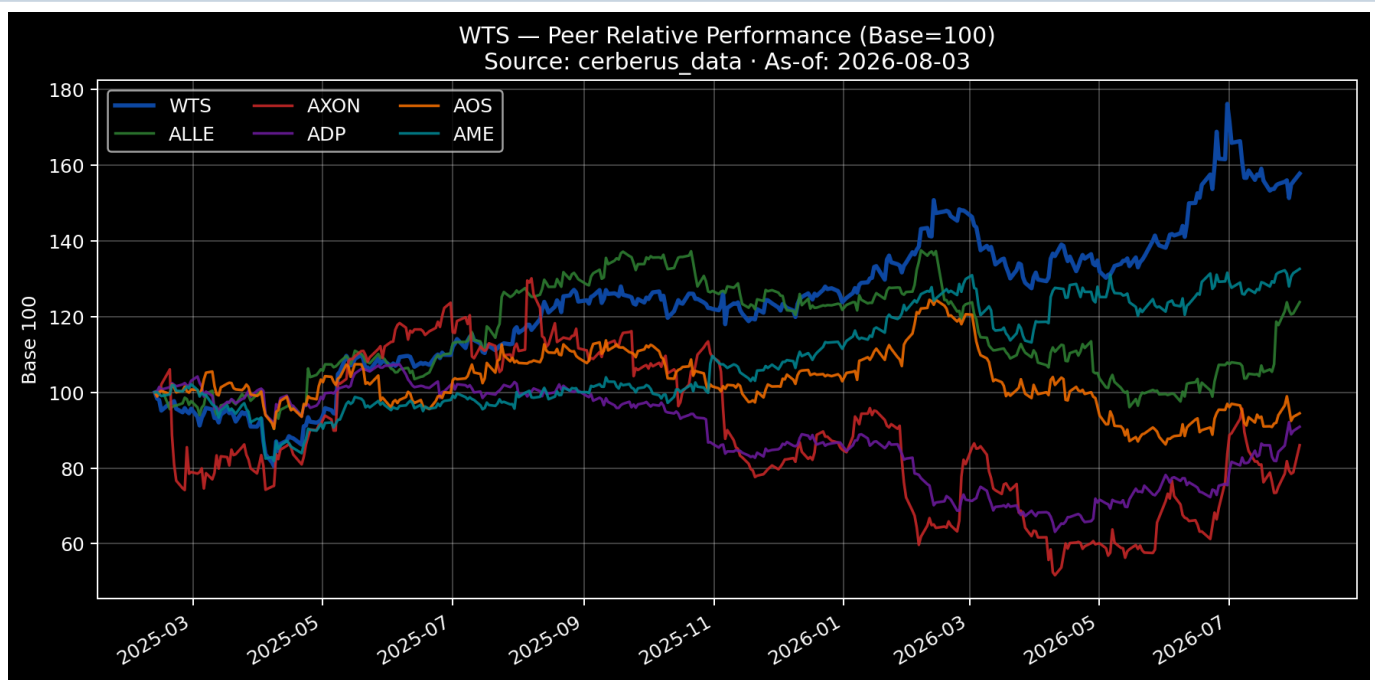


Figure 7. Peer Relative Performance (1Y, Base=100)

*Read: relative performance sits near the 50th peer percentile. Why it matters: frames the allocation decision versus comparable alternatives. Source: peer snapshot / local market data · As-of: 2026-08-03*

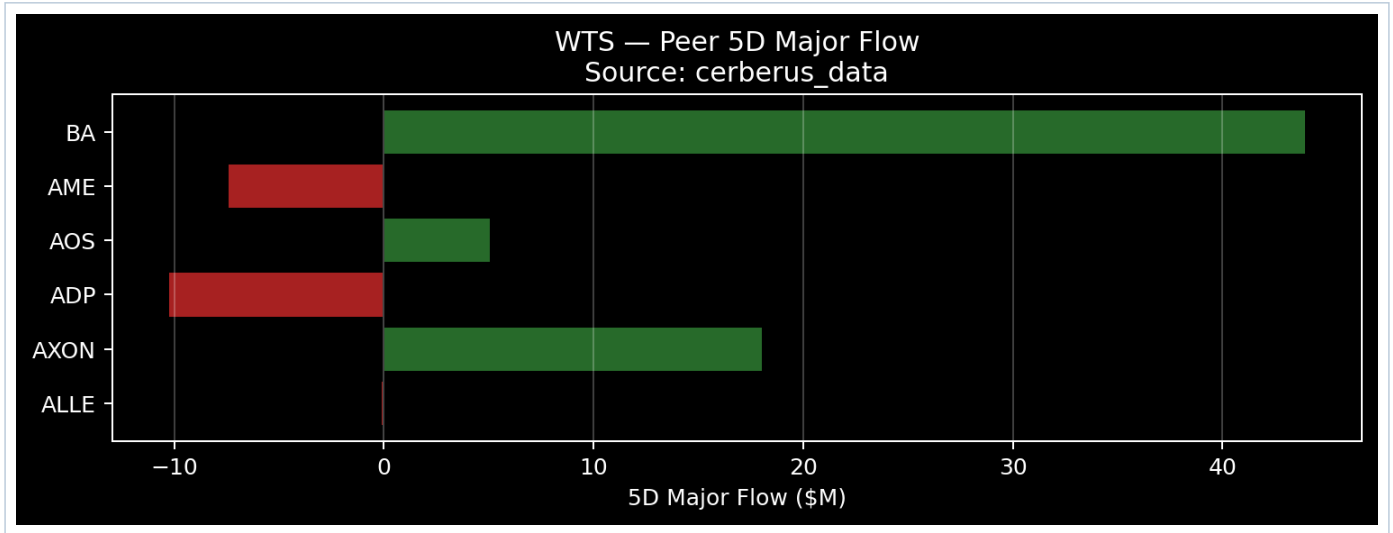


Figure 8. Peer 5D Major Flow

Why it matters: highlights where institutional flow is concentrating inside the peer set. Source: peer snapshot flows · As-of: N/A

AAIL Retail Sentiment

|                            |                        |
|----------------------------|------------------------|
| AS OF<br>2026-07-23        | BULLISH<br>29.59%      |
| NEUTRAL<br>28.06%          | BEARISH<br>42.35%      |
| BULL-BEAR SPREAD<br>-12.76 | READ<br>retail bearish |

CBOE Volatility & Risk Premium

|                     |                                    |
|---------------------|------------------------------------|
| AS OF<br>2026-07-31 | VIX9D<br>16.38                     |
| VIX<br>7.69         | VIX3M<br>19.02                     |
| SKEW<br>141.23      | TERM SLOPE (VIX3M - VIX9D)<br>2.64 |
| BXM<br>2490.46      | PUT INDEX<br>3557.59               |

| Index    | Value   |
|----------|---------|
| LONGVOL  | 5.31    |
| LOVOL    | 566.03  |
| LTV      | 8.00    |
| SHORTVOL | 1766.07 |
| SMILE    | 2526.34 |

Read: complacency

Macro / Liquidity / Positioning Dashboard

|                     |                       |
|---------------------|-----------------------|
| STATE<br>neutral    | OVERALL SCORE<br>0.19 |
| AS OF<br>2026-07-31 |                       |

| Component      | Score |
|----------------|-------|
| Liquidity      | 0.25  |
| Volatility     | -0.33 |
| Breadth        | 1.00  |
| Crowding       | 0.25  |
| Rates          | 0.00  |
| Macro Revision | 0.00  |

Neutral tape; prioritize selectivity and benchmark-relative confirmation.

|                           |                         |
|---------------------------|-------------------------|
| AS OF<br>2026-07-31       | TAPE STATE<br>Neutral   |
| TOTAL PUT/CALL<br>0.91    | EQUITY PUT/CALL<br>0.63 |
| INDEX PUT/CALL<br>1.01    | SKEW<br>141.23          |
| VIX3M CLOSE<br>19.02      | SPOTVOL CLOSE<br>7.69   |
| VOL TERM PREMIUM<br>11.33 |                         |

forward vol above spot

|                                          |                                           |
|------------------------------------------|-------------------------------------------|
| AS OF<br>2026-07-31                      | NET LIQUIDITY<br>\$5.83K                  |
| CREDIT SPREAD<br>0.80                    | HY SPREAD<br>2.84                         |
| YIELD CURVE<br>0.47                      | FINANCIAL STRESS<br>-0.83                 |
| NFCI<br>-0.55                            | 10Y TERM PREMIUM<br>0.84                  |
| INTERPRETATION<br>net liquidity positive |                                           |
| NAAIM AS OF<br>2026-07-22                | NAAIM EXPOSURE<br>84.02                   |
| NAAIM RANGE<br>-25.00 / 200.00           | NAAIM QUANTILES<br>85.00 / 95.50 / 100.00 |

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## NAAIM DISPERSION

43.61

## DIX

0.46

## DIX Z-SCORE (20D)

0.82

## READ

Crowded long; dark-pool accumulation

## DIX/GEX AS OF

2026-07-31

## GEX

\$5.74B

## GEX Z-SCORE (20D)

0.15

## Macro Insight

| Lens        | Insight                                                               |
|-------------|-----------------------------------------------------------------------|
| Read        | macro backdrop mixed                                                  |
| Implication | macro should not be the only driver                                   |
| Watch Next  | watch regime state, liquidity stress, and sentiment crowding together |
| Confidence  | high                                                                  |

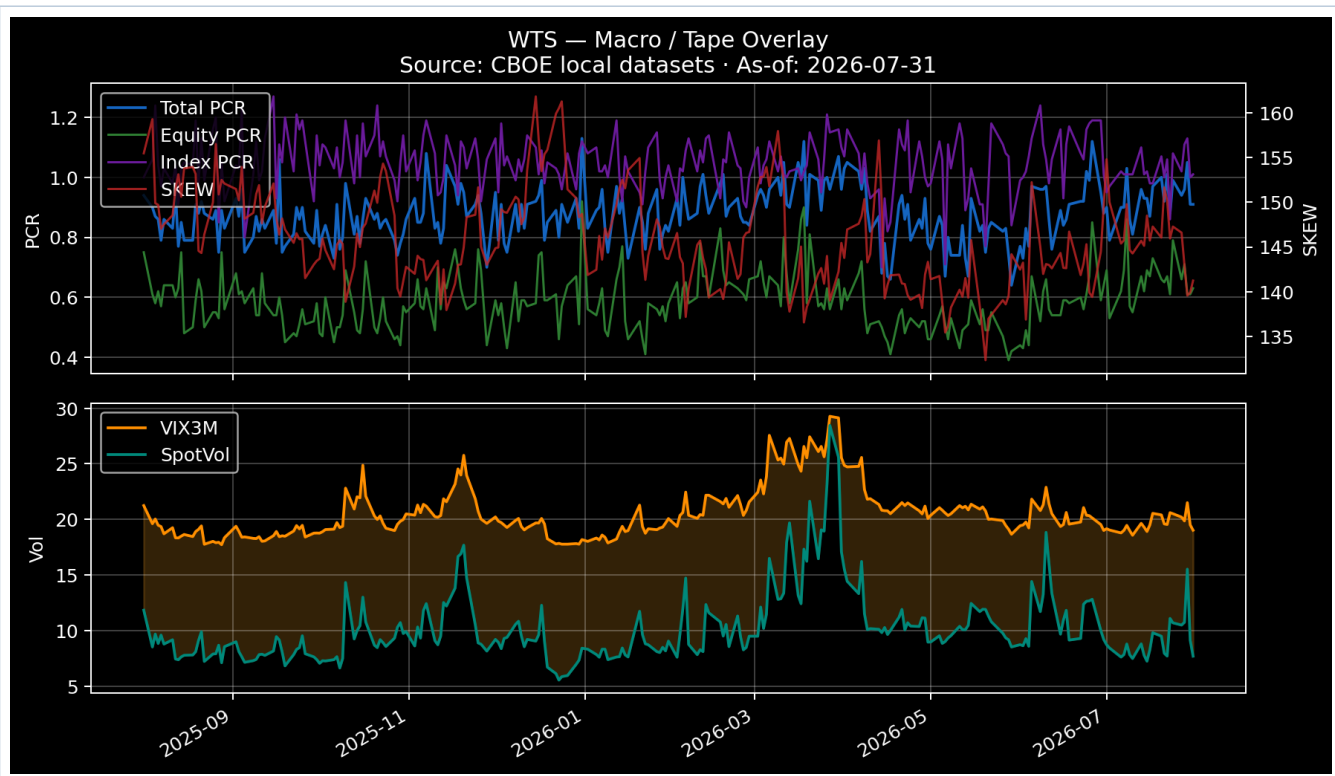


Figure 9. Macro and Tape Overlay

Why it matters: macro positioning can amplify or cap setup follow-through. Source: CBOE local datasets · As-of: 2026-07-31



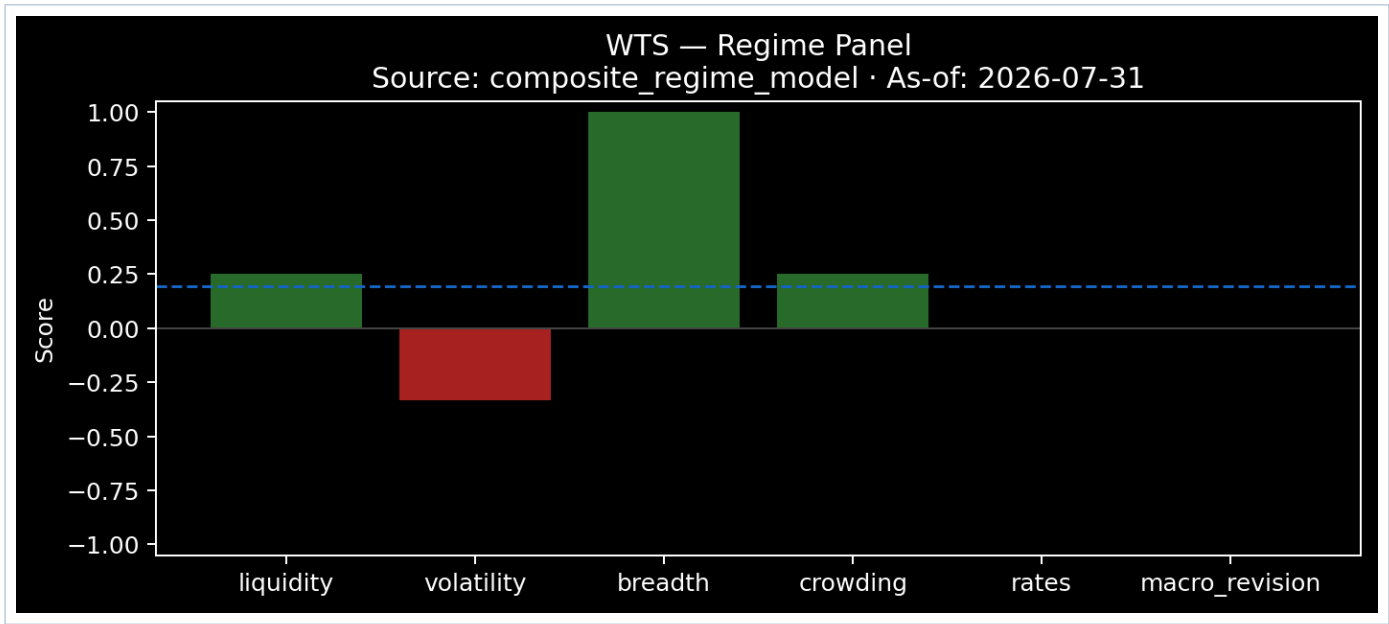


Figure 10. Market Regime Panel

Chart Read: Summarizes the macro regime drivers supporting or pressuring risk appetite.

Why it matters: regime alignment changes expected payoff and sizing discipline. Source: regime dataset · As-of: 2026-07-31

Technical Overview

|                    |                          |
|--------------------|--------------------------|
| SCORE<br>52.02/100 | VERDICT<br>MONITOR       |
| REGIME<br>Range    | ADVICE<br>Hold / Neutral |
| TREND<br>Uptrend   | CONFIDENCE<br>4.04%      |

Price vs Moving Averages

| Period           | Position  | Level    |
|------------------|-----------|----------|
| SMA 20           | Above SMA | \$346.60 |
| SMA 50           | Above SMA | \$338.97 |
| SMA 200          | Above SMA | \$304.34 |
| VWAP             | Above SMA | \$157.43 |
| Supertrend(10,3) | Below SMA | \$371.23 |

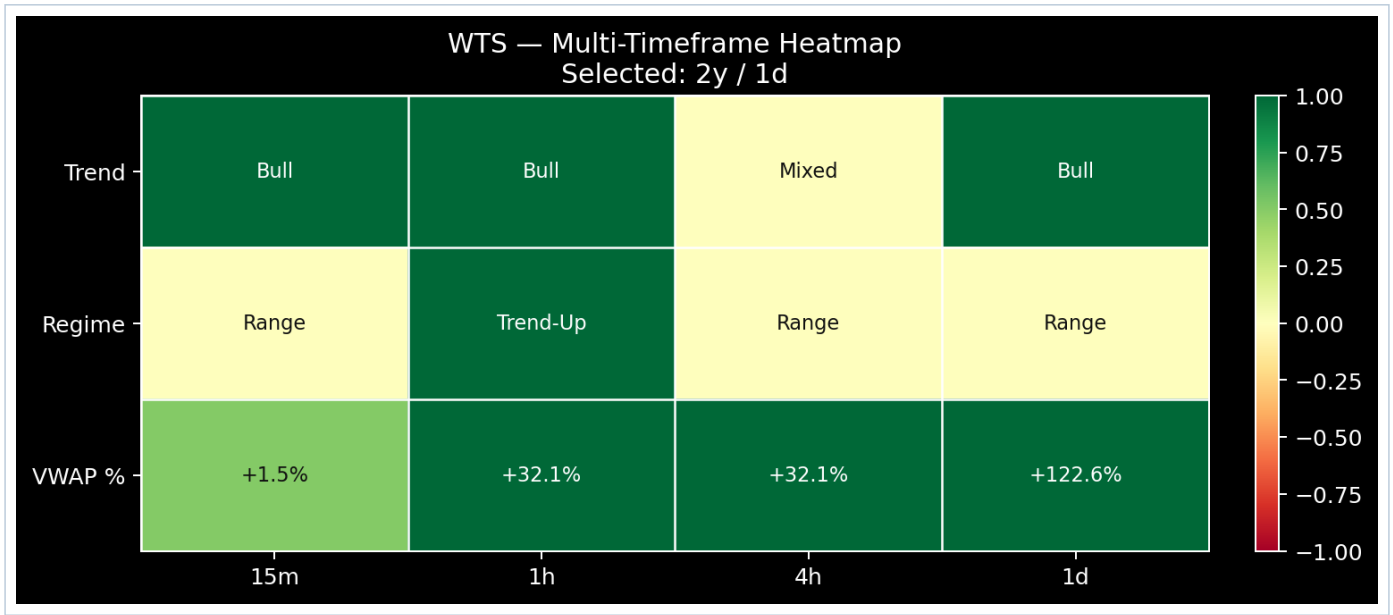


Figure 11. Multi-Timeframe Heatmap

Chart Read: Shows alignment or conflict across short and longer timeframes.

Why it matters: higher timeframe alignment improves follow-through odds. Source: technical indicators · As-of: 2026-08-03

Technical Scorecard

|                                     |                                              |
|-------------------------------------|----------------------------------------------|
| Setup Classification                |                                              |
| PRIMARY SETUP<br>Breakout           | REASON<br>trend 100, VCP 47, vol 68          |
| TREND / REGIME<br>Uptrend / Range   | VERDICT / ADVICE<br>MONITOR / Hold / Neutral |
| STRUCTURE STAGE<br>Stage 2 / Markup | TREND STACK<br>Mixed stack                   |
| VALUE POSTURE<br>4/4 above          | VCP / VOLATILITY STATE<br>46.6 / Expansion   |

|                                      |                                        |
|--------------------------------------|----------------------------------------|
| Execution Card                       |                                        |
| TRIGGER<br>>368.70 or reclaim 345.58 | INVALIDATION<br><330.87 / EMA21 346.14 |
| TARGET<br>389.82                     | REWARD / RISK<br>2.0:1                 |
| TIMEFRAME BIAS<br>Bull               |                                        |

Watch Conditions

| Trigger | Level / Status |
|---------|----------------|
|---------|----------------|

| Trigger             | Level / Status               |
|---------------------|------------------------------|
| Donchian Breakout   | >368.70                      |
| VWAP Posture        | +122.6%                      |
| EMA9 Reclaim/Hold   | 345.58                       |
| EMA21 Reclaim/Hold  | 346.14                       |
| Target              | 389.82                       |
| Volume Confirmation | 68.1                         |
| Compression Flags   | NR7 Yes / Inside No / TTM On |

Invalidation Logic

| Check            | Threshold |
|------------------|-----------|
| ATR Stop         | <330.87   |
| Donchian Lower   | <334.12   |
| Supertrend       | <371.23   |
| EMA21            | <346.14   |
| Current Drawdown | -10.5%    |
| Risk / Reward    | 2.0:1     |

Timeframe Agreement

| Interval  | Trend   | Regime   | Price vs VWAP |
|-----------|---------|----------|---------------|
| 15m       | Bull    | Range    | +1.5%         |
| 1h        | Bull    | Trend-Up | +32.1%        |
| 4h        | Mixed   | Range    | +32.1%        |
| 1d        | Bull    | Range    | +122.6%       |
| Consensus | 100.00% | Bull     | —             |

Regime / Driver Breakdown

| Driver        | Value |
|---------------|-------|
| Final Score   | 52.0  |
| Confidence    | 4.0   |
| Momentum      | 45.0  |
| Trend         | 100.0 |
| Risk Adjusted | 84.1  |
| Vol Stability | 72.0  |
| Drawdown      | 0.0   |

| Driver              | Value |
|---------------------|-------|
| Volume Confirmation | 68.1  |
| ATR Percentile      | 89.7  |
| Vol Clustering      | 0.134 |
| Gap Fill Prob       | 82.9% |

Technical Insight

| Lens        | Insight                                                  |
|-------------|----------------------------------------------------------|
| Read        | technicals aligned                                       |
| Implication | current structure supports acting on strength            |
| Watch Next  | breakout trigger, MTF bias Bull, and volume confirmation |
| Confidence  | medium / conflicting signals                             |

Market Structure Deep Dive

Support / Resistance Clusters

| Side       | Cluster                                |
|------------|----------------------------------------|
| Resistance | 352.99 (+0.7%) x2 [R3, R2]             |
| Support    | 350.46 (-0.0%) x3 [R1, Fib R2, Fib R1] |

Distance Matrix

| Level          | Value  | Distance |
|----------------|--------|----------|
| VWAP           | 157.43 | +122.6%  |
| EMA9           | 345.58 | +1.4%    |
| EMA21          | 346.14 | +1.3%    |
| SMA50          | 338.97 | +3.4%    |
| SMA200         | 304.34 | +15.2%   |
| Pivot          | 346.37 | +1.2%    |
| R1             | 349.39 | +0.3%    |
| S1             | 342.77 | +2.3%    |
| Donchian Upper | 368.70 | -4.9%    |
| Donchian Lower | 334.12 | +4.9%    |
| Stop           | 330.87 | +5.9%    |
| Target         | 389.82 | -10.1%   |

Candle / Bar Anatomy

|                                   |
|-----------------------------------|
| O / H / L / C                     |
| 347.47 / 352.55 / 347.40 / 350.52 |
| RANGE / ATR                       |
| 5.15 / 0.52x                      |
| STREAK                            |
| 3                                 |

|                                |
|--------------------------------|
| BODY / UPPER WICK / LOWER WICK |
| 59 / 39 / 1                    |
| CLOSING RANGE                  |
| 60.5%                          |

Historical Behavior Near Key MAs

| MA     | Behavior  |
|--------|-----------|
| DMA20  | avg +1.1% |
| DMA50  | avg +1.4% |
| DMA200 | avg +1.9% |

Compression / Expansion

| Flag                            | Value        |
|---------------------------------|--------------|
| VCP Score                       | 46.6         |
| Volatility State                | Expansion    |
| TTM Squeeze                     | On           |
| NR7 / Inside Bar                | Yes / No     |
| ATR Percentile / Vol Clustering | 89.7 / 0.134 |

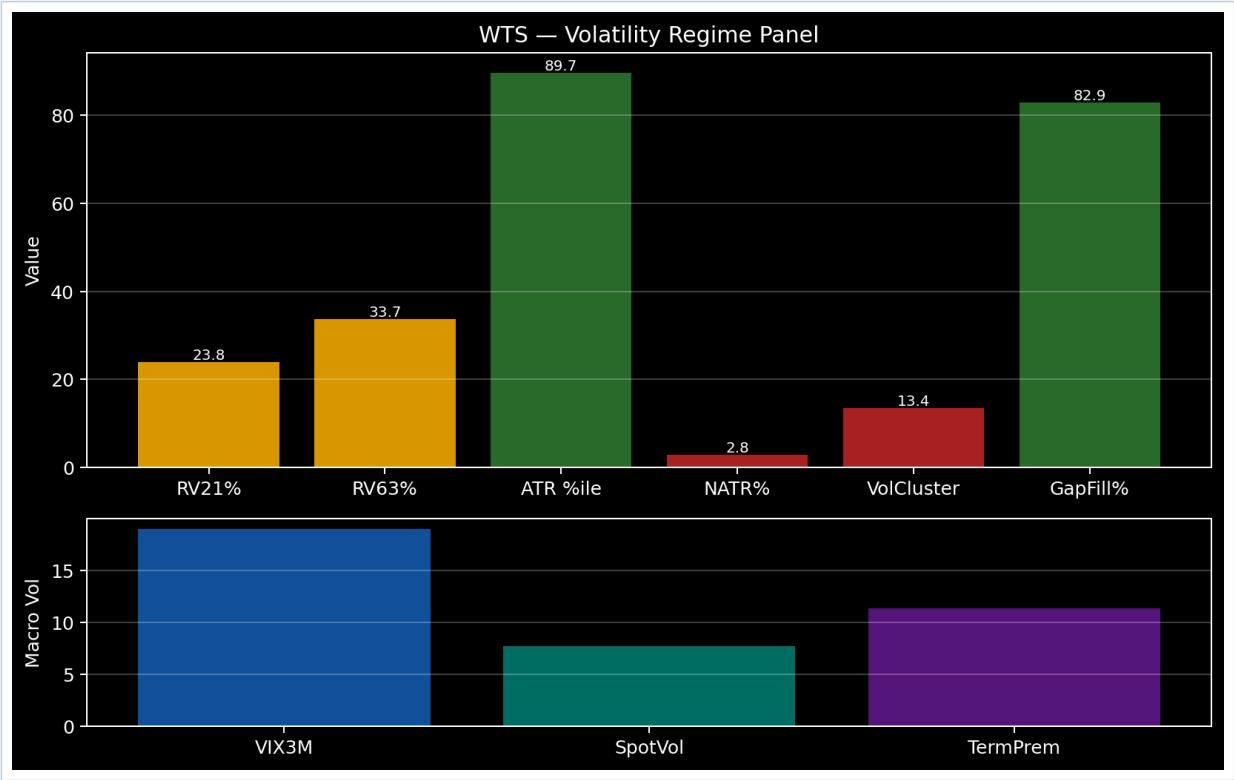


Figure 12. Volatility Regime Panel

Chart Read: Shows whether realized and implied volatility conditions favor expansion or compression.

Read: ATR is running near 2.8% of spot, so wider stops may be necessary. Why it matters: vol state affects breakout odds and stop placement. Source: technical indicators · As-of: 2026-08-03

Technical Indicators

| Indicator   | Value  | Indicator   | Value       |
|-------------|--------|-------------|-------------|
| RSI(14)     | 54.14  | Stoch K/D   | 50.76/37.49 |
| MACD        | 0.47   | MACD Signal | 1.34        |
| MACD Hist   | -0.87  | Williams %R | -34.40      |
| ADX(14)     | 17.49  | CCI(20)     | 48.61       |
| ATR(14)     | 9.83   | NATR(14)%   | 2.80%       |
| BB Upper    | 356.35 | BB Lower    | 336.85      |
| BB Position | 70.11% | Z-Score     | 0.80        |
| ROC(21)%    | -4.89% | ROC(63)%    | +19.39%     |
| SAR         | 334.44 | ER(10)      | 0.32        |
| OBV Ratio   | 0.16   | 52W Pos%    | 69.09%      |

Pattern Signals

| Signal         | Status |
|----------------|--------|
| NR7            | Yes    |
| Inside Bar     | —      |
| Bull Pin Bar   | —      |
| Bear Pin Bar   | —      |
| Closing Range% | 60.52% |
| Streak (bars)  | 3      |

Market Structure

|                                                         |                                       |
|---------------------------------------------------------|---------------------------------------|
| <div>WEINSTEIN STAGE</div> <div>Stage 2 (Uptrend)</div> | <div>VCP SCORE</div> <div>46.58</div> |
| <div>TTM SQUEEZE</div> <div>Active (1 bars)</div>       |                                       |

Risk Levels (ATR-based)

| Level     | Price    | Note               |
|-----------|----------|--------------------|
| Stop Loss | \$330.87 | 2x ATR below entry |
| Target    | \$389.82 | 4x ATR above entry |

Research only. Not investment advice. Past performance is not indicative of future results.

| Level       | Price  | Note |
|-------------|--------|------|
| Risk/Reward | 2.00:1 | —    |

Risk & Quantitative Metrics

| Metric             | 21D     | 63D                          |
|--------------------|---------|------------------------------|
| Realized Vol (Ann) | 0.24%   | 0.34%                        |
| Sharpe Ratio       | -2.40   | 2.27                         |
| Sortino Ratio      | -3.23   | 4.57                         |
| Calmar             | -6.33   | 5.42                         |
| CURRENT DRAWDOWN   | -10.46% | MAX DRAWDOWN (2Y)<br>-44.38% |
| CVAR 95%           | -3.47%  | KELLY FRACTION<br>0.22       |
| HURST EXPONENT     | 1.00    | SKEWNESS<br>-0.61            |
| KURTOSIS           | -0.49   | VOL CLUSTERING<br>0.13       |
| GAP FILL PROB%     | 82.89%  | MONTHLY WIN RATE%<br>55.56%  |
| MTF CONSENSUS%     | 100.00% |                              |

Score Breakdown

| Component      | Score  |
|----------------|--------|
| Momentum       | 44.97  |
| Trend          | 100.00 |
| Mean Reversion | 35.52  |
| Bollinger      | 29.89  |
| VWAP           | 0.00   |
| Trend Strength | 34.98  |
| Vol Stability  | 71.97  |
| Risk-Adjusted  | 84.12  |
| Drawdown       | 0.00   |
| Volume         | 68.10  |

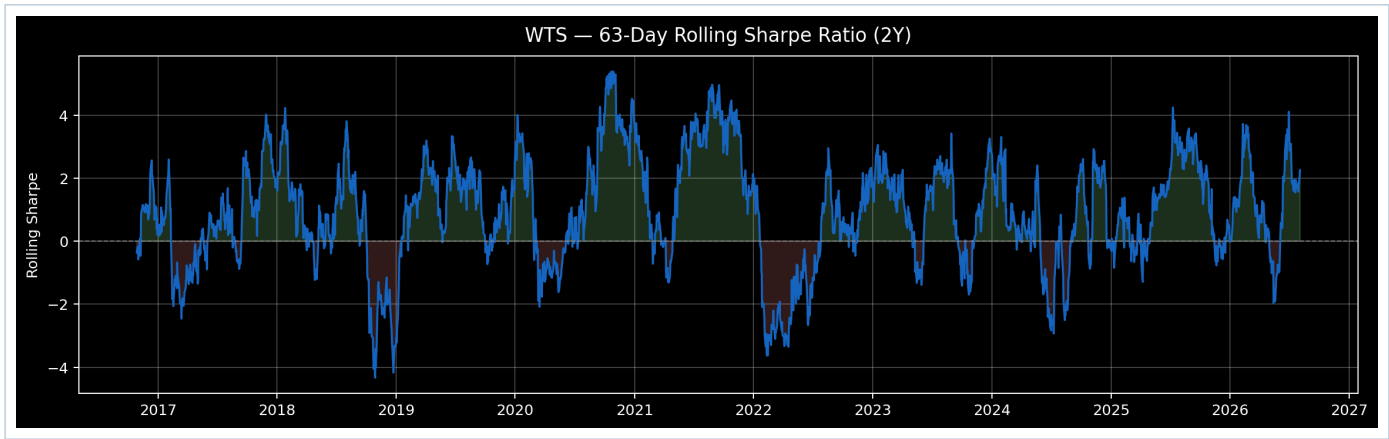


Figure 13. 63-Day Rolling Sharpe Ratio (2Y)

Chart Read: Shows whether returns have recently been efficient or unstable on a risk-adjusted basis.

Why it matters: shows whether recent returns have been efficient or unstable. Source: yfinance daily bars · As-of: 2026-08-03

**NOTE**  
Primary sources: SEC companyfacts, local actions, yfinance fallback. Derived fields are labeled.

Issuer Profile

|                                                            |                                                  |
|------------------------------------------------------------|--------------------------------------------------|
| <b>WEBSITE</b><br>watts.com                                | <b>INVESTOR RELATIONS</b><br>IR                  |
| <b>SEC PROFILE</b><br>CIK                                  | <b>CIK</b><br>0000795403                         |
| <b>LISTING</b><br>NYSE / equity                            | <b>COUNTRY</b><br>United States                  |
| <b>DOMICILE / LISTING</b><br>United States / United States | <b>EMPLOYEES</b><br>5.70K                        |
| <b>IPO DATE</b><br>1986-08-21                              | <b>ACTIVE LISTING</b><br>True                    |
| <b>STATUS REASON</b><br>active                             | <b>ETF / ADR / REIT</b><br>False / False / False |

Identifiers

|                                         |                                                     |
|-----------------------------------------|-----------------------------------------------------|
| <b>FIGI</b><br>BBG000C4Z6C2             | <b>COMPOSITE FIGI</b><br>BBG000C4Z6C2               |
| <b>SHARE CLASS FIGI</b><br>BBG001S6N6Y7 | <b>OPENFIGI TYPE</b><br>Common Stock / Common Stock |
| <b>OPENFIGI MARKET SECTOR</b><br>Equity | <b>OPENFIGI EXCHANGE / MIC</b><br>US                |

Valuation



|              |          |
|--------------|----------|
| TRAILING P/E | 32.83    |
| PEG RATIO    | 3.73     |
| EV/EBITDA    | 20.83    |
| MARKET CAP   | \$11.98B |

|                  |          |
|------------------|----------|
| FORWARD P/E      | 27.20    |
| P/S RATIO        | 4.68     |
| PRICE/BOOK       | 5.72     |
| ENTERPRISE VALUE | \$11.63B |

Profitability & Margins

|              |         |
|--------------|---------|
| GROSS MARGIN | 49.24%  |
| NET MARGIN   | 14.32%  |
| ROA          | 11.49%  |
| GROSS PROFIT | \$1.26B |

|           |           |
|-----------|-----------|
| OP MARGIN | 19.67%    |
| ROE       | 18.94%    |
| EBITDA    | \$558.50M |

Income Statement (TTM)

|            |           |
|------------|-----------|
| REVENUE    | \$2.56B   |
| NET INCOME | \$366.40M |

|                  |           |
|------------------|-----------|
| OPERATING INCOME | \$133.20M |
| EBITDA           | \$558.50M |

Most Recent Quarter

|              |           |
|--------------|-----------|
| Q REVENUE    | \$677.30M |
| Q NET INCOME | \$99.60M  |

|                |           |
|----------------|-----------|
| Q OP INCOME    | \$133.20M |
| Q OP CASH FLOW | \$17.90M  |

Point-in-Time Trend Snapshot

| Metric              | 2026-03-31 | 2025-12-31 | 2025-09-30 | 2025-06-30 |
|---------------------|------------|------------|------------|------------|
| Revenue             | \$677.30M  | \$625.10M  | \$611.70M  | \$643.70M  |
| Net Income          | \$99.60M   | \$83.70M   | \$82.20M   | \$100.90M  |
| Operating Income    | \$133.20M  | \$114.80M  | \$113.30M  | \$138.70M  |
| Operating Cash Flow | \$17.90M   | \$154.70M  | \$122.40M  | \$69.70M   |

Fundamental Score Summary

|                           |
|---------------------------|
| GROWTH SCORE              |
| 50.00                     |
| RESILIENCE SCORE          |
| 69.03                     |
| OVERALL FUNDAMENTAL SCORE |
| 60.27                     |

|                          |
|--------------------------|
| QUALITY SCORE            |
| 57.07                    |
| CAPITAL ALLOCATION SCORE |
| 65.00                    |
| OVERALL POSTURE          |
| Balanced                 |

Margin Trend / Growth Regime

|                      |
|----------------------|
| GROWTH REGIME        |
| Stable compounder    |
| GROSS MARGIN TREND   |
| insufficient history |
| NET MARGIN TREND     |
| insufficient history |

|                        |
|------------------------|
| REVENUE TREND          |
| insufficient history   |
| OPERATING MARGIN TREND |
| insufficient history   |

Balance Sheet & Resilience

|                       |
|-----------------------|
| TOTAL ASSETS          |
| \$2.88B               |
| STOCKHOLDERS EQUITY   |
| \$2.03B               |
| TOTAL DEBT            |
| \$305.00M             |
| STRESS READ           |
| Net cash              |
| CURRENT / QUICK RATIO |
| 2.72 / 1.52           |

|                    |
|--------------------|
| TOTAL LIABILITIES  |
| \$853.50M          |
| CASH & EQUIVALENTS |
| \$405.50M          |
| NET DEBT           |
| \$-100.50M         |
| NET DEBT / EBITDA  |
| -0.18              |
| DEBT / EQUITY      |
| 14.55              |

Cash Flow & Conversion

|                     |
|---------------------|
| OPERATING CASH FLOW |
| \$364.70M           |
| FREE CASH FLOW      |
| \$184.41M           |
| FCF / NET INCOME    |
| 0.50                |
| EARNINGS QUALITY    |
| Mixed               |

|                                |
|--------------------------------|
| CAPITAL EXPENDITURES (DERIVED) |
| \$180.29M                      |
| OCF / NET INCOME               |
| 1.00                           |
| CAPEX INTENSITY (DERIVED)      |
| 7.05%                          |

Ownership & Short Interest

|                 |
|-----------------|
| INSIDER HOLDING |
| 0.97%           |

|               |
|---------------|
| INST. HOLDING |
| 106.30%       |

SHORT % FLOAT  
4.08%

SHARES SHORT  
838.52K

SHORT RATIO (DTC)  
1.61

Growth & Yield

REVENUE GROWTH  
21.40%

FCF YIELD  
1.54%

EPS FWD  
13.19

EARNINGS GROWTH  
34.50%

PAYOUT RATIO  
19.03%

Capital Returns & Share Count

DIVIDEND YIELD  
62.00%

DIVIDEND CADENCE  
quarterly

SHARES OUTSTANDING  
27.47M

SHAREHOLDER YIELD (EST.)  
62.00%

BUYBACK / DILUTION REGIME  
Stable

PAYOUT RATIO  
19.03%

LATEST DIVIDEND  
2026-06-01

SHARE COUNT TREND  
insufficient history

YIELD DECOMPOSITION  
dividend 62.00% + buyback -%

Valuation Context

TRAILING P/E CONTEXT  
rich

EV / EBITDA CONTEXT  
rich

OVERALL VALUATION POSTURE  
Richly priced

FORWARD P/E CONTEXT  
rich

FCF YIELD CONTEXT  
thin

COVERAGE NOTE  
peer/sector valuation history unavailable in current snapshot

Sector-Relative Fundamentals

NET MARGIN PERCENTILE  
not meaningful

FUNDAMENTAL MOMENTUM SCORE  
60.27

OPERATING MARGIN PERCENTILE  
not meaningful

RELATIVE READ  
insufficient peer sample

Fundamentals Insight

| Lens        | Insight                                                              |
|-------------|----------------------------------------------------------------------|
| Read        | balanced                                                             |
| Implication | valuation needs more help from execution                             |
| Watch Next  | watch growth regime, cash conversion, and share-count drift together |
| Confidence  | medium                                                               |

Valuation Sanity Flags

|                          |                       |
|--------------------------|-----------------------|
| TRAILING PE<br>32.83     | FORWARD PE<br>27.20   |
| EV / EBITDA<br>20.83     | PRICE / SALES<br>4.68 |
| DIVIDEND YIELD<br>62.00% | FLAG COUNT<br>3       |

| Flag      | Read                              |
|-----------|-----------------------------------|
| Valuation | trailing PE screens rich at 32.83 |
| Valuation | forward PE screens rich at 27.20  |
| Valuation | EV/EBITDA screens rich at 20.83   |

Fundamental Quality Panel

|                                           |                                                       |
|-------------------------------------------|-------------------------------------------------------|
| QUALITY SCORE<br>86.85                    | VERDICT<br>Strong                                     |
| GROWTH<br>revenue 21.40%, earnings 34.50% | MARGINS<br>gross 49.24%, operating 19.67%, net 14.32% |
| FCF YIELD<br>1.54%                        | LIQUIDITY<br>current 2.72, quick 1.52                 |
| DEBT / EQUITY<br>14.55                    |                                                       |

Fundamental Quality Insight

| Lens        | Insight                                                          |
|-------------|------------------------------------------------------------------|
| Read        | fundamental quality strong                                       |
| Implication | fundamentals support paying up for the name                      |
| Watch Next  | watch growth, FCF yield, and leverage move in the same direction |
| Confidence  | high                                                             |

Curated Fundamentals

NOTE

No curated fundamentals available.

Corporate Actions

NOTE

Charts and relative returns use adjusted close when available; raw OHLC remains unadjusted.

Recent Dividends

| Date       | Amount | Source   |
|------------|--------|----------|
| 2026-06-01 | 0.63   | yfinance |
| 2026-02-23 | 0.52   | yfinance |
| 2025-12-01 | 0.52   | yfinance |
| 2025-08-25 | 0.52   | yfinance |
| 2025-05-26 | 0.52   | yfinance |

Earnings & Revenue

Next Earnings

| Next Date  | EPS Estim... | Revenue Estimate |
|------------|--------------|------------------|
| 2026-08-05 | 3.34         | \$726.02M        |

EPS Surprise History (Last 8 Quarters)

| Date       | EPS Estim... | Reported E... | Surprise  |
|------------|--------------|---------------|-----------|
| 2026-08-05 | 3.34         | —             | —         |
| 2026-05-06 | 2.69         | 3.04          | OK 13.04% |
| 2026-02-11 | 2.34         | 2.62          | OK 12.02% |
| 2025-11-05 | 2.26         | 2.50          | OK 10.49% |
| 2025-08-06 | 2.63         | 3.09          | OK 17.70% |
| 2025-05-07 | 2.13         | 2.37          | OK 11.34% |
| 2025-02-10 | 1.91         | 2.05          | OK 7.25%  |
| 2024-10-30 | 1.99         | 2.03          | OK 2.23%  |

Annual Revenue & Net Income

| Year | Revenue | Net Income | Net Margin |
|------|---------|------------|------------|
| 2025 | \$2.44B | \$340.80M  | 13.98%     |
| 2024 | \$2.25B | \$291.20M  | 12.93%     |

| Year | Revenue | Net Income | Net Margin |
|------|---------|------------|------------|
| 2023 | \$2.06B | \$262.10M  | 12.75%     |
| 2022 | \$1.98B | \$251.50M  | 12.71%     |
| 2021 | —       | —          | —          |

### Share Buybacks (Annual)

| Year | Repurchases |
|------|-------------|
| 2025 | \$16.00M    |
| 2024 | \$17.00M    |
| 2023 | \$16.00M    |
| 2022 | \$69.40M    |

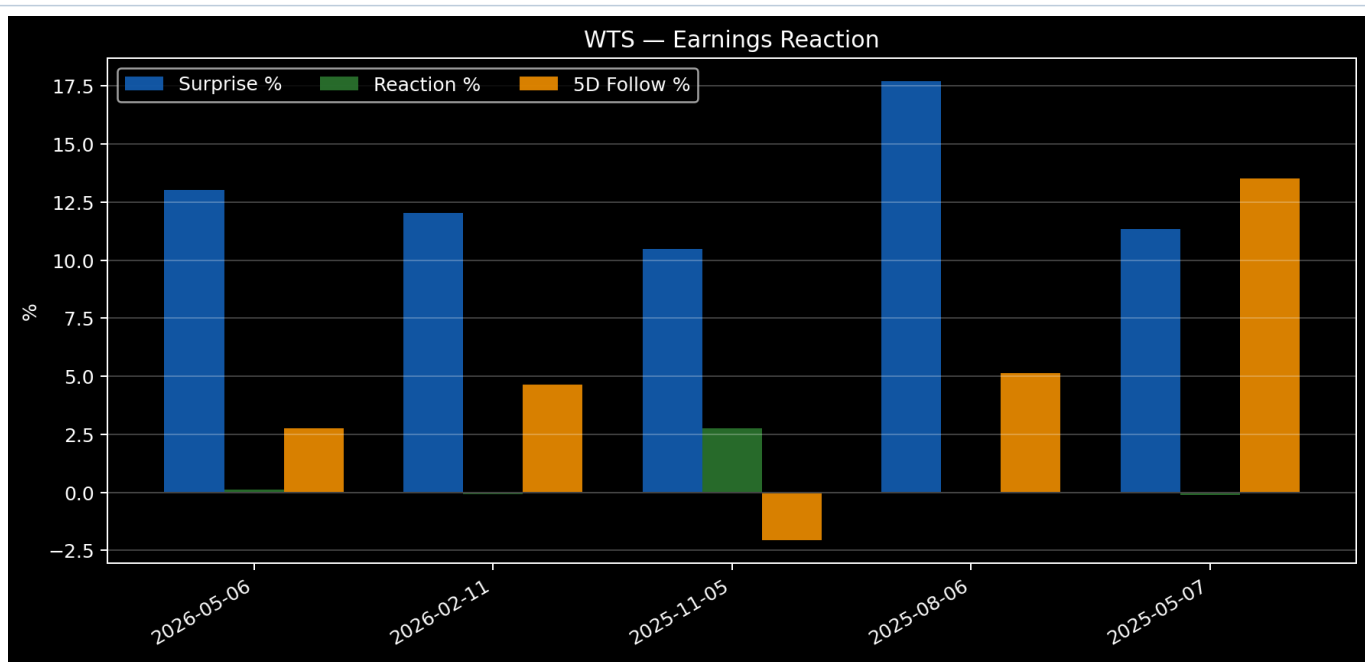


Figure 14. Earnings Reaction

Chart Read: Shows how the stock has typically moved around earnings events.

Why it matters: event reaction history sets expectations into the next print. Source: earnings history · As-of: 2024-10-30

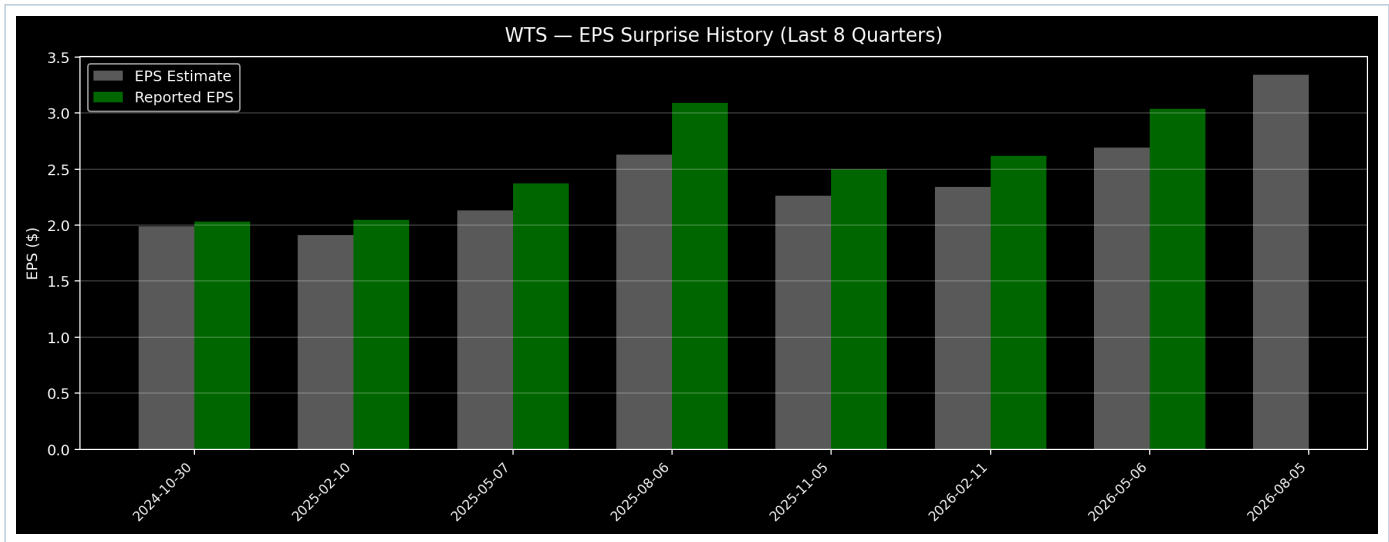


Figure 15. EPS Surprise History

Chart Read: Shows whether earnings have tended to beat or miss expectations.

Why it matters: surprise consistency helps separate narrative from execution. Source: earnings history · As-of: 2024-10-30

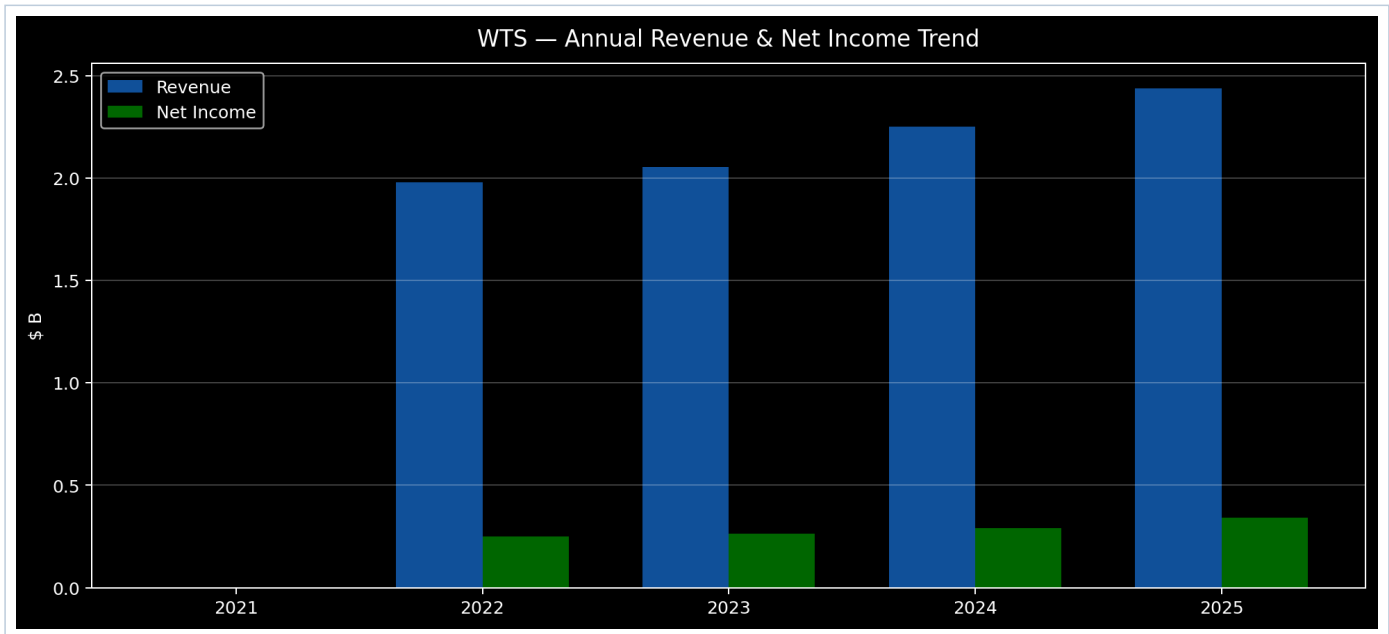


Figure 16. Annual Revenue & Net Income Trend

Chart Read: Shows the slope and consistency of top-line growth and profitability.

Why it matters: slope and consistency matter more than one quarter in isolation. Source: annual revenue history · As-of: 1970-01-01

Options Snapshot

|                              |                          |
|------------------------------|--------------------------|
| NEAREST EXPIRY<br>2026-08-21 | ATM IV (CALLS)<br>43.02% |
| ATM IV (PUTS)<br>48.37%      | PUT/CALL RATIO<br>1.13   |

|               |
|---------------|
| TOTAL CALL OI |
| 47            |

|              |
|--------------|
| TOTAL PUT OI |
| 42           |

Options Expected Move

|                  |
|------------------|
| FRONT EXPIRY     |
| 2026-08-21       |
| ATM IV USED      |
| 43.02%           |
| IMPLIED RANGE    |
| 311.36 to 389.68 |

|                   |
|-------------------|
| DTE               |
| 17                |
| EXPECTED MOVE     |
| +/-39.16 (11.17%) |

Analyst Consensus

|                |
|----------------|
| RECOMMENDATION |
| HOLD           |
| TARGET (MEAN)  |
| \$358.33       |

|                     |
|---------------------|
| ANALYST COUNT       |
| 9                   |
| TARGET RANGE        |
| \$320.00 - \$414.00 |

Analyst Insight

| Lens        | Insight                                                          |
|-------------|------------------------------------------------------------------|
| Read        | street view mixed                                                |
| Implication | consensus is not a strong differentiator                         |
| Watch Next  | watch target dispersion and rating breadth for revision pressure |
| Confidence  | medium / conflicting signals                                     |

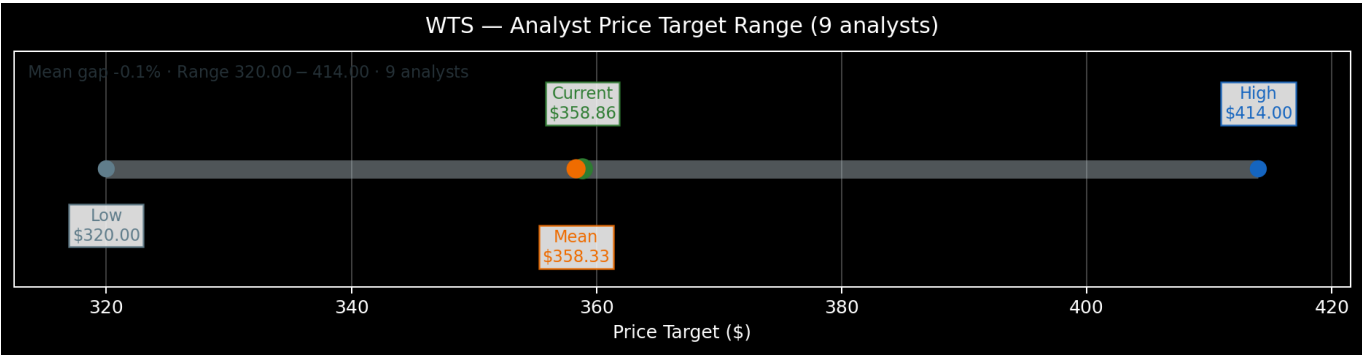


Figure 17. Analyst Price Target Range

Chart Read: Shows how optimistic or conservative the street target range currently is.

Read: consensus implies +2.2% with 26.2% target spread. Why it matters: shows how much of the upside case is already in consensus. Source: analyst consensus · As-of: 2026-08-03

Ownership / Crowding Context

|                   |
|-------------------|
| CROWDING READ     |
| Distribution risk |

|                          |
|--------------------------|
| TOP INSTITUTIONAL HOLDER |
| Blackrock Inc.           |



|                                                  |                                                                             |
|--------------------------------------------------|-----------------------------------------------------------------------------|
| <b>TOP INSTITUTIONAL VALUE</b><br>\$1.32B        | <b>TOP-5 INSTITUTIONAL CONCENTRATION</b><br>28.99%                          |
| <b>INSTITUTIONAL HOLDER COUNT</b><br>5           | <b>TOP MUTUAL FUND HOLDER</b><br>iShares Trust-iShares Core S&P Mid-Cap ETF |
| <b>TOP-5 MUTUAL FUND CONCENTRATION</b><br>10.56% | <b>MUTUAL FUND % OUT (TOP-5)</b><br>0.00%                                   |
| <b>RECENT INSIDER BUYS / SELLS</b><br>0 / 5      | <b>RECENT INSIDER NET VALUE</b><br>\$-1.94M                                 |

Ownership Insight

| Lens        | Insight                                                  |
|-------------|----------------------------------------------------------|
| Read        | distribution risk                                        |
| Implication | holder base can amplify downside if conviction breaks    |
| Watch Next  | watch insider net activity against concentration changes |
| Confidence  | high                                                     |

Ownership Change Over Time

|                              |                                                                  |
|------------------------------|------------------------------------------------------------------|
| <b>STATUS</b><br>Unavailable | <b>REASON</b><br>No local holder snapshot loaded for the report. |
|------------------------------|------------------------------------------------------------------|

Top Institutional Holders

| Holder                                           | Shares  | Value     |
|--------------------------------------------------|---------|-----------|
| Blackrock Inc.                                   | 3.67M   | \$1.32B   |
| Kayne Anderson Rudnick Investment Management LLC | 2.13M   | \$763.40M |
| Vanguard Portfolio Management LLC                | 1.66M   | \$595.96M |
| Vanguard Capital Management LLC                  | 1.23M   | \$440.09M |
| State Street Corporation                         | 991.14K | \$355.68M |

Mutual Fund Holders

| Holder                                                      | Shares  | % Out | Value     |
|-------------------------------------------------------------|---------|-------|-----------|
| iShares Trust-iShares Core S&P Mid-Cap ETF                  | 935.18K | 3.40% | \$335.60M |
| VANGUARD INDEX FUNDS-Vanguard Total Stock Market Index Fund | 872.24K | 3.17% | \$313.01M |
| John Hancock Funds III-Disciplined Value Mid Cap Fund       | 683.65K | 2.49% | \$245.33M |
| VANGUARD INDEX FUNDS-Vanguard Small-Cap Index Fund          | 632.35K | 2.30% | \$226.92M |
| VANGUARD INDEX FUNDS-Vanguard Small-Cap Value Index Fund    | 402.67K | 1.47% | \$144.50M |

# Insider Activity (yfinance)

| Filing Date | Insider Name            | Title                   | Trade Type | Price  | Qty   | Value      |
|-------------|-------------------------|-------------------------|------------|--------|-------|------------|
| 2026-05-28  | DUBOSE MICHAEL J        | Director                | DOWN S     | 309.63 | 398   | 123233.00  |
| 2026-05-13  | MELHEM ELIE             | Officer                 | DOWN S     | 301.00 | 2257  | 679357.00  |
| 2026-03-19  | MELHEM ELIE             | Officer                 | DOWN S     | 292.13 | 372   | 108672.00  |
| 2026-03-18  | MELHEM ELIE             | Officer                 | DOWN S     | 300.03 | 379   | 113711.00  |
| 2026-03-17  | MELHEM ELIE             | Officer                 | DOWN S     | 303.05 | 3029  | 917938.00  |
| 2026-03-13  | PAGANO ROBERT J JR      | Chief Executive Officer | N/A Grant  | 119.12 | 18196 | 1354394.00 |
| 2026-03-13  | MCCLINTOCK DIANE M. CPA | Chief Financial Officer | N/A Grant  | 119.12 | 1778  | 114593.00  |
| 2026-03-13  | MCCLINTOCK DIANE M. CPA | Chief Financial Officer | N/A Grant  | 119.12 | 1939  | 152950.00  |

Insider Pressure Summary

|                       |                                  |
|-----------------------|----------------------------------|
| BUY COUNT<br>0        | SELL COUNT<br>5                  |
| NET VALUE<br>\$-1.94M | NET VALUE / MARKET CAP<br>-0.02% |

## Recent News

NOTE

Narrative: bullish bias in recent headlines.

Coverage: 3 relevant headlines reviewed; 3 dated items.

| Lens    | Headlines                                                                                                                                                                 |
|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bullish | Watts Water (WTS) Reports Next Week: Wall Street Expects Earnings Growth                                                                                                  |
| Bearish | No flagged headlines                                                                                                                                                      |
| Neutral | Watts Water Technologies (WTS): Buy, Sell, or Hold Post Q1 Earnings? ; Should Watts’ Shift Into Russell Value and Midcap Indexes Reshape How WTS Investors View Its Role? |

| Date       | Publisher       | Tag      | Impact          | Headline                                                                                           |
|------------|-----------------|----------|-----------------|----------------------------------------------------------------------------------------------------|
| 2026-07-29 | Zacks           | earnings | [HIGH] [RECENT] | Watts Water (WTS) Reports Next Week: Wall Street Expects Earnings Growth                           |
| 2026-07-14 | StockStory      | earnings | [HIGH] [RECENT] | Watts Water Technologies (WTS): Buy, Sell, or Hold Post Q1 Earnings?                               |
| 2026-07-04 | Simply Wall St. | general  | [LOW] [RECENT]  | Should Watts’ Shift Into Russell Value and Midcap Indexes Reshape How WTS Investors View Its Role? |

Short Sale Pressure

|                                     |                                      |
|-------------------------------------|--------------------------------------|
| AS OF<br>2026-07-31                 | SHORT VOLUME<br>28927.00             |
| SHORT EXEMPT VOLUME<br>0.00         | TOTAL VOLUME<br>57130.00             |
| SHORT VOLUME RATIO<br>50.63%        | SHORT EXEMPT VOLUME RATIO<br>0.00%   |
| 5D AVG SHORT VOLUME RATIO<br>53.81% | 20D AVG SHORT VOLUME RATIO<br>50.00% |
| READ<br>Normal                      |                                      |

Short Interest Insight

| Lens        | Insight                                                          |
|-------------|------------------------------------------------------------------|
| Read        | normal                                                           |
| Implication | short participation is not changing the thesis yet               |
| Watch Next  | watch short ratio versus 20D average and price response together |
| Confidence  | high                                                             |

Event Risk Calendar

| Event    | Date       | Distance | Note            |
|----------|------------|----------|-----------------|
| Earnings | 2026-08-05 | 1d       | scheduled       |
| Dividend | 2026-06-01 | 64d ago  | last cash event |
| 8-K      | 2026-05-20 | 76d ago  | latest filing   |

Catalyst / Event Risk

| Driver             | Status     |
|--------------------|------------|
| Next Earnings      | 2026-08-05 |
| Latest Dividend    | 2026-06-01 |
| Analyst Target Gap | 2.23%      |

SEC Filing Timeline

|                                  |                                  |
|----------------------------------|----------------------------------|
| LATEST FORM<br>8-K               | LATEST FILING DATE<br>2026-05-20 |
| LATEST REPORT DATE<br>2026-05-19 | LATEST FILING LAG<br>1.00d       |

8-K COUNT (90D)

2

10-Q COUNT (365D)

3

10-K COUNT (365D)

1

| Form | Filing Date | Report D... | Lag    | Type |
|------|-------------|-------------|--------|------|
| 8-K  | 2026-05-20  | 2026-05-19  | 1.00d  | 8-K  |
| 10-Q | 2026-05-07  | 2026-03-29  | 39.00d | 10-Q |
| 8-K  | 2026-05-06  | 2026-05-06  | 0.00d  | 8-K  |
| 10-K | 2026-02-23  | 2025-12-31  | 54.00d | 10-K |
| 8-K  | 2026-02-11  | 2026-02-11  | 0.00d  | 8-K  |

End Summary

| Lens              | Close                             |
|-------------------|-----------------------------------|
| Profile           | full                              |
| Action Bias       | Hold / Neutral                    |
| Score / Verdict   | 52.02 / MONITOR                   |
| Risk Box          | stop 330.87 / trade target 389.82 |
| Analyst Mean Gap  | 2.23%                             |
| Regime / Catalyst | neutral / 2026-08-05              |

Closing Insight

| Lens        | Insight                                                                        |
|-------------|--------------------------------------------------------------------------------|
| Read        | setup remains actionable into the next catalyst window                         |
| Implication | size to the setup only if flow, relative strength, and event path stay aligned |
| Watch Next  | watch stop discipline, benchmark-relative tape, and catalyst timing together   |
| Confidence  | medium / stale inputs                                                          |

Appendix

NOTE

Reference material, data provenance, and lower-priority diagnostics.

DATASET ROOT

cerberus\_data

FRESH / STALE / UNKNOWN

0 / 22 / 2

TRACKED DATASETS

24

| Dataset        | As Of      | Age     | SLA    | Status | Source          |
|----------------|------------|---------|--------|--------|-----------------|
| SEC Events     | 2026-05-20 | 1843.1h | no SLA | stale  | sec_submissions |
| Actions        | 2026-06-01 | 1541.6h | no SLA | stale  | cerberus_data   |
| NAAIM          | 2026-07-22 | 331.1h  | no SLA | stale  | cerberus_data   |
| aaii_sentiment | 2026-07-23 | 307.1h  | no SLA | stale  | aaii_sentiment  |
| cboe_bxm       | 2026-07-31 | 115.1h  | no SLA | stale  | cboe_bxm        |
| cboe_longvol   | 2026-07-31 | 115.1h  | no SLA | stale  | cboe_longvol    |
| cboe_lovol     | 2026-07-31 | 115.1h  | no SLA | stale  | cboe_lovol      |
| cboe_ltv       | 2026-07-31 | 115.1h  | no SLA | stale  | cboe_ltv        |

+16 additional datasets tracked in companion manifest.

Methodology

NOTE

#### Definitions



| Topic                 | Note                                                                                                                                                                                                                                         |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Score Components      | Momentum, Trend, Mean Reversion, Bollinger, VWAP, Trend Strength, Vol Stability, Risk Adjusted, Drawdown, Volume Confirmation                                                                                                                |
| Flow Divergence Logic | Flow divergence compares 5D/20D price returns against cumulative major and retail net flow from local stock_flows; positive major flow with flat/down price flags accumulation, negative major flow with resilient price flags distribution. |
| Benchmark Selection   | Benchmarks prefer index membership and sector mapping from local security/index snapshots; current order SPY, XLI.                                                                                                                           |

#### Fallback Usage

| Dataset              | Handling                                 | Severity |
|----------------------|------------------------------------------|----------|
| fundamentals         | fundamentals dataset unavailable         | optional |
| flows                | flows dataset unavailable                | optional |
| options_summary      | options_summary dataset unavailable      | optional |
| holders              | holders dataset unavailable              | optional |
| esg                  | esg dataset unavailable                  | optional |
| sec_company_tickers  | sec_company_tickers dataset unavailable  | optional |
| insider_transactions | insider_transactions dataset unavailable | optional |

NOTE

Report generated by SanCapital Cerberus — for research purposes only.

## List of Figures

- Figure 1: Price Chart - Candlestick + SMA + Volume + RSI (1Y)
- Figure 2: Risk Map and Execution Levels
- Figure 3: Catalyst and Event Timeline
- Figure 4: Score Mix Breakdown
- Figure 5: Relative Strength Ratio
- Figure 6: Breadth and Leadership Context
- Figure 7: Peer Relative Performance (1Y, Base=100)
- Figure 8: Peer 5D Major Flow
- Figure 9: Macro and Tape Overlay
- Figure 10: Market Regime Panel
- Figure 11: Multi-Timeframe Heatmap
- Figure 12: Volatility Regime Panel
- Figure 13: 63-Day Rolling Sharpe Ratio (2Y)
- Figure 14: Earnings Reaction
- Figure 15: EPS Surprise History
- Figure 16: Annual Revenue & Net Income Trend
- Figure 17: Analyst Price Target Range

## Document Control

|                |                                   |
|----------------|-----------------------------------|
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